Inspironics Exit Capital

Positioning Inspironics for institutional-grade transaction readiness through strategic capital restructuring and ESG AIoT platform convergence.

CONFIDENTIAL | INVESTOR PRESENTATION

Platform

Inspironics has architected a unified ESG AIoT platform through the deliberate convergence of four core capability pillars — each addressing a distinct dimension of enterprise intelligence and sustainability.

CX-Customer

AI-driven engagement and analytics layers that translate user behavior into actionable ESG-aligned outcomes.

CK-Customer

Proprietary data intelligence and insights engine powering real-time decision frameworks across enterprise verticals.

CD-Connected

IoT-integrated data streams enabling end-to-end visibility across physical and digital infrastructure touchpoints.

CE-Carbon

Automated ESG reporting, carbon tracking, and compliance modules designed for institutional and regulatory audiences.

Valuation

Inspironics has demonstrated a disciplined and compounding valuation trajectory — from seed-stage bootstrapping to a clearly defined $100M ceiling thesis supported by platform maturity, ESG tailwinds, and structural readiness.

$ —Foundation

Early-stage valuation anchored in proof-of-concept deployments, founding team equity, and initial enterprise pilots across CX and CK modules.

$ —Platform

Multi-year capital infusions validated product-market fit. Revenue traction, recurring contracts, and expanded ESG integrations drove the 3x uplift in enterprise value.

$ —Exit

Clean cap table, institutional ownership structure, and ESG AIoT differentiation position Inspironics at the upper bound of comparable M&A and strategic acquisition benchmarks.

T h e

Years of multi-round capital infusions — while essential to platform development — created a cap table of compounding complexity that now represents the primary friction point for institutional due diligence and exit execution.

S o u r c e s

- Mixed equity issuances across multiple tranches with inconsistent terms
- Divergent valuation references across investment rounds
- Ambiguous seniority and liquidation preference stack
- Undefined ESOP pool boundaries relative to fully diluted share count

In v e s t o r

Institutional buyers and strategic acquirers apply a **valuation discount** of 15–30% to targets with unresolved cap table complexity. Prolonged diligence cycles increase deal fatigue and raise the probability of failed transactions.

⚠ Without structural remediation, Inspironics risks pricing below its intrinsic $100M ceiling in any near-term exit process.

Strategic

The cornerstone of Inspironics' exit readiness strategy is the formation of a new holding company — NewCo — designed from the ground up to satisfy institutional ownership standards and accelerate broker and buyer engagement.

Clean

NewCo is incorporated as the primary holding vehicle, consolidating all legacy equity interests into a single, coherent ownership register under a standardized share class framework.

Contribution-Aligned

Equity allocations are re-anchored to actual economic contributions, milestone achievements, and validated investment participation — eliminating legacy distortions.

Institutional-Grade

NewCo adopts preferred vs. common share architecture with clear liquidation preferences, anti-dilution provisions, and board governance standards expected by PE and strategic buyers.

Transaction-Ready

The restructured entity is engineered for immediate engagement with M&A advisors, investment bankers, and strategic acquirers — minimizing time-to-close from first conversation.

Cap — Before

The structural transformation from legacy complexity to institutional clarity is the defining action that unlocks Inspironics' full valuation potential and removes the single largest barrier to exit execution.

❌ Before — Legacy

- Mixed equity issuances with inconsistent terms across tranches
- Divergent and conflicting valuation references across rounds
- Undefined liquidation preference hierarchy
- ESOP pool boundaries unclear in fully diluted calculations
- No single source of truth for ownership percentages
- Diligence risk: extended timelines, buyer hesitation, price pressure

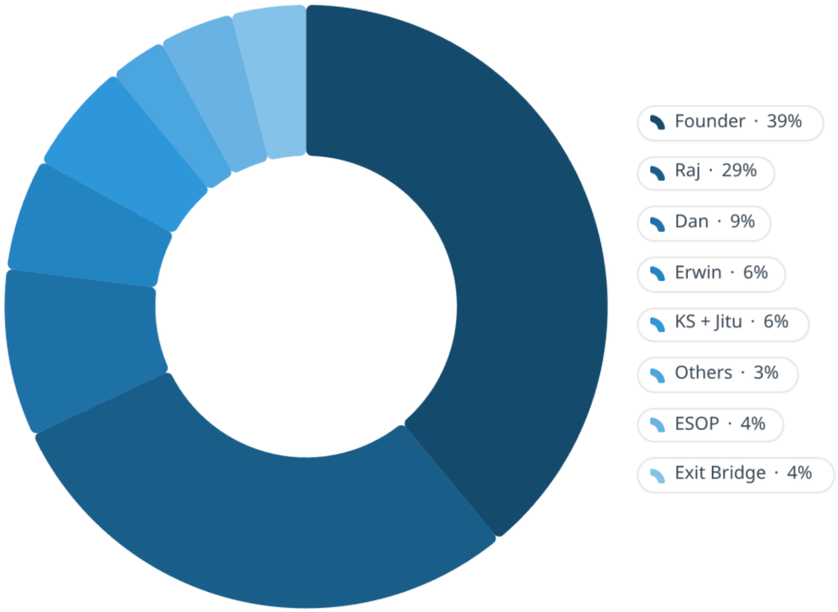
✅ After — NewCo

- Clean Preferred vs. Common share class distinction
- Ownership percentages directly aligned to verified contributions
- Defined ESOP pool with clear vesting and dilution mechanics
- Standardized liquidation preference stack — no ambiguity
- Exit Bridge mechanism for near-term liquidity facilitation
- Institutional-grade structure ready for broker and buyer engagement

This transformation is the critical unlock — it is the difference between a discounted distressed sale and a premium institutional exit at or above the $100M ceiling.

N e w

Post-restructuring, the NewCo cap table reflects a disciplined, contribution-anchored ownership register designed to align incentives, signal institutional credibility, and satisfy buyer due diligence standards at first review.



O w n e r s h i p

Founder (39%) — Majority economic and strategic control retained, reflecting primary value creation contribution.
Raj (29%) — Second-largest stakeholder, representing significant capital and execution partnership.
ESOP (4%) — Reserved for key talent retention and incentive alignment through exit.
Exit Bridge (4%) — Structured mechanism to facilitate near-term liquidity events and bridge financing prior to full exit.

Combined founder + core team concentration exceeds 80%, signaling strong alignment and reducing buyer risk perception.

W h y

A clean capital structure is not a cosmetic improvement — it is a **direct determinant of transaction value, deal velocity, and buyer confidence**. Sophisticated acquirers and institutional investors apply rigorous structural screens before advancing any M&A dialogue.

C l e a n

A normalized cap table eliminates the most common source of diligence friction. Buyers receive a single, auditable ownership register — accelerating legal, financial, and tax review by weeks.

F a s t e r

Structural clarity compresses time-to-LOI and time-to-close. Deals with clean cap tables close 40–60% faster than comparables burdened by unresolved equity complexity.

N o

Buyers price risk. A clean structure removes the 15–30% discount commonly applied to targets with ambiguous ownership — preserving full value realization at or near the $100M thesis.

L e g a l

NewCo's standardized governance documentation — shareholder agreements, preference schedules, ESOP plan — ensures every term is legally enforceable and transfer-ready from day one.

Execution -Day

The capital restructuring is engineered for speed and precision. The 10-day execution sprint is structured to minimize operational disruption while delivering a transaction-ready structure with zero ambiguity for any incoming buyer or advisor.

1

Days –2

Legal Entity Formation

Incorporate NewCo holding structure. Engage legal counsel. Draft Articles of Incorporation and shareholder framework.

2

Days –4

Cap Table Reconciliation

Audit all legacy equity instruments. Reconcile contribution records. Establish definitive fully diluted share count.

3

Days –6

Stakeholder Alignment

Distribute proposed ownership register to all stakeholders. Collect signatures and resolve outstanding objections or adjustments.

4

Days –8

Documentation & Filing

Execute share issuance agreements, ESOP plan documentation, and preference schedules. File with relevant corporate registry.

5

Days –1

Broker Readiness Review

Conduct final diligence readiness audit. Prepare investor data room. Initiate broker and M&A advisor outreach.

Exit

Upon completion of the 10-day restructuring sprint, Inspironics emerges as a fully institutional-grade asset — positioned for immediate and credible engagement across the full spectrum of exit pathways.

Strategic

ESG AIoT platform differentiation and clean structure attract Fortune 500 corporate development teams seeking accretive technology acquisitions in the sustainability and enterprise intelligence sectors.

Private

Institutional-grade governance and EBITDA visibility make Inspironics an attractive PE platform acquisition or add-on target, with a clear path to operational leverage and portfolio integration.

Broker-Led

M&A advisors and investment bankers require a clean data room as a precondition for engagement. NewCo structure enables immediate mandate issuance and parallel buyer outreach.

Inspironics is no longer preparing for an exit — it is ready for one. The structure, narrative, and documentation are institutional-grade and buyer-facing today.

Call

The path to a premium exit is clear, the timeline is short, and the ask is specific. Every day of delay compounds structural risk and compresses the window for optimal market timing in an ESG-favorable M&A environment.

What

- Formal written consent from all equity stakeholders to proceed with NewCo formation
- Execution of updated shareholder agreements within the 10-day window
- Confirmation of ESOP participation and Exit Bridge allocations
- Authorization to engage M&A broker upon restructuring completion

What

01

Stakehol-0ff

All equity holders confirm agreement to the proposed NewCo ownership register.

02

Legal

10-day restructuring roadmap launches immediately upon consensus.

03

Broker

Data room activated. M&A advisor mandated. Exit process initiated.

The window for a $100M institutional exit is open — but it requires every stakeholder to act with urgency, alignment, and shared purpose.

Appendix:

The following table represents the post-restructuring, fully diluted ownership register for Inspironics NewCo — the definitive reference for all stakeholder, legal, and buyer-facing communications.

Stakeholder	Share Class	% Ownership (FD)	Role / Basis	Status
Founder	Common	39%	Primary value creation & IP	Confirmed
Raj	Preferred	29%	Capital & execution partnership	Confirmed
Dan	Common	9%	Strategic contribution	Pending consent
Erwin	Common	6%	Operational & technical role	Pending consent
KS + Jitu	Common	6%	Capital & advisory contribution	Pending consent
Others	Common	3%	Legacy minority holders	Under review
ESOP Pool	Options / Common	4%	Key talent retention & incentives	Reserved
Exit Bridge	Preferred / Convertible	4%	Near-term liquidity facilitation	Structured
Total	—	**100%**	Fully diluted basis	**NewCo Ready**

All percentages are calculated on a fully diluted basis inclusive of ESOP and Exit Bridge allocations. Final figures subject to legal documentation and stakeholder execution. This table supersedes all prior cap table versions.